

Missing Form APs?

Ian D. Gow

1 December 2024

In May of 2024, I [posted on LinkedIn](#) a brief note about working with data from Form APs filed with the PCAOB. In a comment on my LinkedIn posting, [Olga Usvyatsky](#) suggested that “the variation is not limited to firms’ names - for instance, I find errors in reporting CIK codes of the clients intriguing.” I thought it would be interesting to investigate the issue raised by Olga, but doing so would be greatly facilitated by an alternative source for data on auditor-client relationships.

Recently, I discovered that it is relatively straightforward to process XBRL data filed using SEC EDGAR using data sets prepared by the SEC and posted on its website. There are two data sets: the [Financial Statements](#) and [Financial Statement and Notes](#) data sets, with the latter being roughly ten times as large as the former. For the task we consider here, we need to use the *Financial Statement and Notes* data set.¹

In essence, I compare the auditors listed in firms’ 10-K filings with data on Form APs, with a focus on my success rate in matching the two. In Table 5, we can see that the auditor with the greatest number of non-matches is B F Borgers CPA PC, an auditor featured in a tongue-in-cheek *Financial Times* [article by George Steer](#) that showed that the auditor Ben Borgers had used 14 different names—including the name “Ben F orgers”—on Form AP filings.² While more research would be needed to investigate the reasons for “missing” data, having Borgers emerge as the “winner” yet again suggests that missing Form AP filings might be another red flag worth pursuing.

This note was written using [Quarto](#) and compiled with [RStudio](#), an integrated development environment (IDE) for working with R. The source code for this note is available [here](#) and the latest version of this PDF is [here](#).

1 XBRL tags

A key concept in XBRL is the **tag**. Each value will be associated with, *inter alia*, a tag that indicates what the value represents. For example, a value might be tagged as `AssetsCurrent` to indicate that the value represents the total of current assets.³

To understand tags related to auditors, I begin by examining the tags that begin with the text `Auditor`. From Table 1, it can be seen that there are three such tags in common use: `AuditorName`, `AuditorLocation`, and `AuditorFirmId`.⁴

¹The current code I use to download and update these data is in the `dera.pq` package. Run `dera.pq::update_dera_notes()` to get these data.

²The analysis of the Form AP data in the FT article had been conducted by independent researcher [Stephen Walker](#) and I showed how to reproduce Stephen’s analysis in [an earlier note](#).

³The *inter alia* refers to other things use to narrow down what the value relates to, such as the filing (`adsh`, also known as the **accession number**), the period (`ddate`), and the applicable XBRL version (`version`).

⁴In Table 1, we do see `AuditorFirmId1` and `AuditorFirmId2`, but given how rare these tags are, we can ignore these for present purposes.

From Table 1, it appears that not every filing with non-missing `AuditorName` has non-missing `AuditorFirmId`. Table 2 provides more data on the distribution of missing values for these two fields, where `has_name` and `has_id` indicate non-missing values of `AuditorName` and `AuditorFirmId`, respectively.

Table 3 provides some information on some cases where `AuditorName` is present, but `AuditorFirmId` is not. While there's no clear pattern to these data, they do suggest that firms are not always diligent in including `AuditorFirmId` in XBRL filings.

From Table 4, it can be seen that most filings containing information in `AuditorFirmId` are on variants of Form 10-K. So I focus on Form 10-K filings (and variants) in the analysis in this note.⁵

From the Form APs, I collect data on audit firm IDs, the CIKs of issuers and fiscal period-end dates.

I then merge data from these 10-K filings with data on Form APs using **accession numbers** and period-end dates. Table 5 shows that roughly 1–2% of filings on Form 10-Ks involving Big Four auditors (`firm_id` values of 34, 42, 238, and 185), Grant Thornton (248) or BDO (243) appear not to have corresponding matches in the Form APs data.

While there might be a perfectly innocent explanation, it might be worth digging deeper to understand why (say) Gries & Associates, Yusufali & Associates, and Heaton & Company have such high rates of unmatched filings.

⁵Specifically, I consider 10-K, 10-K/A, 10-KT, and 10-KT/A filings.

Table 1: Tags beginning with Auditor on txt

tag	n
AuditorName	41,610
AuditorLocation	41,361
AuditorFirmId	41,273
AuditorOpinionTextBlock	3,917
AuditorsRemunerationTableTextBlock	22
AuditorsRemunerationTextBlock	16
AuditorsRemunerationScheduleTableTextBlock	9
AuditorRemunerationTableTextBlock	9
AuditorSRemunerationTableTextBlock	6
AuditorReplacementProcessPolicyTextBlock	6
AuditorsRemunerationDisclosureTextBlock	4
AuditorNetIncome	3
AuditorInformationTextBlock	3
AuditorName1	2
AuditorAttestationFlag	2
AuditorFirmId1	2
AuditorLocation1	2
AuditorFirmId2	1
AuditorName2	1
AuditorLocation2	1

Table 2: Distribution of missingness of AuditorName and AuditorFirmId

has_name	has_id	n
FALSE	TRUE	22
TRUE	FALSE	74
TRUE	TRUE	35,117

Table 3: Sample of auditor names with missing IDs

AuditorName	n
PricewaterhouseCoopers LLP	7
Ernst & Young LLP	4
Pinnacle Accountancy Group of Utah	4
Gries & Associates, LLC	3
KPMG LLP	3

Table 4: Forms with information on AuditorFirmId

form	n
10-K	29,020
20-F	4,830
10-K/A	2,767
40-F	723
20-F/A	483
10-KT	69
40-F/A	52
10-KT/A	7
6-K	7
10-Q	5
8-K	2
6-K/A	1
S-1/A	1

Table 5: Number of cases without Form AP filings by auditor

firm_id	firm_name	unmatched	total	% unmatched
34	Deloitte & Touche LLP	1,769	4,702	37.62
42	Ernst & Young LLP	1,667	5,265	31.66
238	PricewaterhouseCoopers LLP	1,448	4,073	35.55
185	KPMG LLP	1,257	3,754	33.48
248	Grant Thornton LLP	520	1,426	36.47
100	WithumSmith+Brown, PC	344	1,008	34.13
243	BDO USA, P.C.	315	1,092	28.85
688	Marcum LLP	229	1,609	14.23
173	Crowe LLP	207	553	37.43
49	RSM US LLP	197	683	28.84
199	Mayer Hoffman McCann P.C.	171	224	76.34
2738	M&K CPAS, PLLC	152	377	40.32
23	Baker Tilly US, LLP	144	357	40.34
686	Forvis Mazars, LLP	139	390	35.64
5525	Fruci & Associates II, PLLC	115	251	45.82
206	MaloneBailey, LLP	102	327	31.19
274	EisnerAmper LLP	93	241	38.59
587	RBSM LLP	87	193	45.08
5041	B F Borgers CPA PC	79	483	16.36
659	Moss Adams LLP	76	348	21.84

Bibliography